

Defence spending slowed. The claims on civil capacity did not.

Over this cycle, the lever changed. Two months ago the central question was whether European industry could absorb money that had already cleared, and the answer was expected to arrive as factory capacity. It has not. Budget growth across European and Canadian defence halved to 2.1% in 2026 while the commitments themselves hardened into dated programmes, and the gates that actually set delivery pace turned out to sit in recruitment offices, permitting queues, test-range calendars, data-rights clauses and hospital law. Rearmament is being executed through claims on civil capacity rather than through defence budgets. What follows: five signals the portfolio surfaced before consensus formed, five assumptions this cycle changed, and four actions now decision-shaped.

STRATEGIC PICTURE AT A GLANCE

5

Weak signals
became measurable

5

Strategic
assumptions
changed

4

Actions now
decision-shaped

1

Strategic constraint
replaced

DRAWING ON

- Decision Intelligence, 27 August 2026 · 'You Don't Have to Be in Defence'
- Signal Scan, 26 August 2026 · 'The Missing Ledger'
- Signal Scan, 19 August 2026 · 'One Thousand a Day'
- Signal Scan, 12 August 2026 · 'Booking the Range'
- Change Tracker, 7 August 2026 · 'Ankara's counter-drone billions'
- Signal Scan, 5 August 2026 · 'The 190 Billion Euro Shortlist'
- Signal Scan, 29 July 2026 · 'The Repair Manual Is the Asset'

● Signal Scan, 22 July 2026 · 'Silence Means Yes'

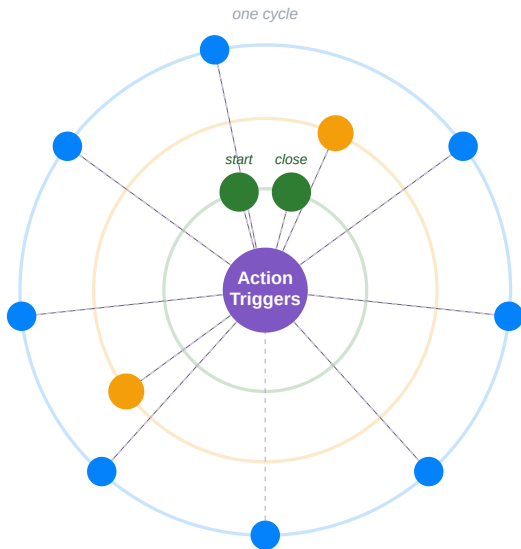
● Signal Scan, 15 July 2026 · 'The Authority Gap'

● Signal Scan, 8 July 2026 · 'Manpower Before Materiel'

● Change Tracker, 3 July 2026 · 'Drones and capital accelerate'

● Decision Intelligence, 29 June 2026 · 'Defence Meets Industrial Reality'

DETECT · ASSESS · DECIDE · ACT



Nine weeks of continuous monitoring, resolved into one decision-grade synthesis at the centre.

Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 4 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

Germany asked about 298,200 people to volunteer and got 530

INITIAL SIGNAL

We flagged in early July that Europe's rearmament was running into the soldier it cannot recruit. The consensus read at that point still treated spending as the thing that had been solved.

NOW EVIDENT

- **Germany's volunteer scheme:** roughly 530 commitments returned from about 298,200 questionnaires.
- **Reservestaerkungsgesetz:** in force 1 July 2026, making reserve service mandatory in defined cases.
- **The August momentum read:** entered bodies rather than budgets as a signal in its own right, while NATO 5% rearmament cooled from Accelerating to Stable.

EFFECTIVE **1 July 2026** RESPONSE RATE **530 from about 298,200**

PREPARE

Any employer of reservist-eligible staff in Germany now carries a workforce-planning exposure it did not carry in June.

LEAD TIME 5 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

Rearmament is being written into civilian law

INITIAL SIGNAL

Through July we surfaced two moves pointing the same way: a reserve obligation written into working life, and a permitting default inverted so that official silence approves.

NOW EVIDENT

- **France:** statutory priority for military orders over civil ones, with strategic stockpiles attached.
- **Germany's health-security law:** due in draft September 2026, routing up to a thousand wounded a day through regional hubs, with blood processing the tightest link.
- **EU permitting:** a 42-working-day tacit-approval default for defence projects, capped at 102 working days.

DRAFT DUE **September 2026** PERMITTING CAP **102 working days**

DECIDE

Boards outside defence should establish whether their own capacity sits inside one of these statutory claims.

LEAD TIME 6 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

Who is allowed to shoot down a drone is still unsettled

INITIAL SIGNAL

In mid-July we identified engagement authority as the binding gate on Europe's drone defence, against a consensus reading the problem as hardware and money.

NOW EVIDENT

- **Romania:** 23 airspace violations logged by 17 August 2026, against 18 across the whole of 2022 to 2025.
- **Latvia:** a drone destroyed over Rugaji on 14 August was Ukrainian, entering from Belarus, most probably displaced by Russian electromagnetic warfare.
- **The unanswered question:** a loss caused by displacement rather than by attack has no settled liability route.

PREPARE

Operators of aircraft, vessels and field assets need the navigation environment in the risk register as a condition, not as an incident class.

LEAD TIME PRE-CONSENSUS

SIGNAL SCAN

Governments are moving to own the repair manuals, where about half the profit sits

INITIAL SIGNAL

In late July we flagged that ownership of repair data was becoming a constraint on readiness, and a claim on the most profitable part of a platform's life.

NOW EVIDENT

The FY27 Senate NDAA would make government-purpose rights the default for technical data and software, reaching a sustainment pool carrying about half of a legacy platform's lifetime profit. No consensus catch-up has arrived yet, which is why this sits here rather than among the assumption shifts.

VEHICLE **FY27 Senate NDAA** EXPOSURE **About 50% of lifetime profit**

MONITOR

Suppliers whose margin sits in aftermarket service should read the conference text rather than the headline budget.

LEAD TIME PRE-CONSENSUS

SIGNAL SCAN

A third of NATO's spending pledge has no definition and no ledger

INITIAL SIGNAL

We flagged in late August that the 1.5% defence-related tier carries no agreed definition and no NATO reporting line, while the money attached to it keeps growing.

NOW EVIDENT

The EU's parallel fiscal flexibility for defence is already widening towards energy security, so the category expands while the ledger does not exist. The previous synthesis treated the 1.5% band as the thing that redraws the procurement category, which it does, without anyone able to count it.

SHARE OF PLEDGE **About 30%** AGREED REPORTING **None**

MONITOR

Treat any addressable-market number built on the 1.5% tier as an estimate with no denominator behind it.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 5

REPLACED

"The money cleared. The shop floor did not."

PRIOR CYCLE HELD

Prior thinking placed the gate on the shop floor: supplier base, feedstock, welders and rail corridors. Absorption was the variable everything else waited on.

THIS CYCLE READS

Absorption is real and unresolved, with a backlog lengthening faster than it clears. What moved delivery this cycle sat above the factory, in recruitment, engagement authority, permitting, test access and data rights.

FORWARD THESIS

Read absorption as a permission problem with an industrial tail, and watch **Rheinmetall's backlog-to-sales ratio at full-year results** as the test of whether the tail is closing.

SHIFT 2 OF 5

WEAKENED

"Money is no longer the question"

PRIOR CYCLE HELD

The funding argument was treated as settled and expanding, which put every remaining question downstream of the money.

THIS CYCLE READS

Commitments hardened into dated programmes while growth halved to 2.1% in 2026 from 4.6% in 2025. A fixed line with selection attached is a different instrument from an expanding one, and Brussels has started choosing: five projects of common interest carrying a 190 billion euro ambition against 325 million euro of seed money.

FORWARD THESIS

Expect allocation contests rather than budget contests, with **the Council decision on the five projects and the October 2026 EDIP call** as the first test.

SHIFT 3 OF 5

SPLIT

"Critical infrastructure under live attack"

PRIOR CYCLE HELD

Incidents across cables, airspace and networks were read as a single campaign of deliberate attack, and priced as an escalation risk.

THIS CYCLE READS

The reading splits by mechanism. Deliberate attack is real, but the aircraft destroyed over Latvia was a third party's, displaced by jamming rather than sent, and Finland's regulator records interference around the clock while holding that safety margins are intact.

FORWARD THESIS

The near-term commercial channel is liability rather than escalation, and the marker is **the first marine or aviation policy wording that separates jamming-induced loss from hostile action.**

SHIFT 4 OF 5

OVERTURNED

"Capital was trapped without exits"

PRIOR CYCLE HELD

Record capital had arrived with nowhere to go: conversion was gated and exits were effectively closed, so the money sat trapped.

THIS CYCLE READS

Exits opened rather than closed, with H1 2026 exit value of roughly \$72bn excluding SpaceX, ahead of every prior full year. The constraint is concentration: conversion into contracted programmes of record is visible only at the very top of the market.

FORWARD THESIS

Test holdings for concentration and named programmes rather than for exit availability, with the tripwire being **any company outside the top decile converting a prototype into a contracted programme of record.**

"The 1.5% security band redraws the procurement category"**PRIOR CYCLE HELD**

The band was treated as the mechanism widening the addressable market beyond traditional defence suppliers, and therefore as something a supplier could size.

THIS CYCLE READS

It does redraw the category, into a tier with no agreed definition and no reporting line, while the EU's fiscal flexibility widens it further towards energy security. A category nobody counts cannot be sized, only asserted.

FORWARD THESIS

Treat 1.5% exposure as an unpriced option until **an agreed NATO definition or reporting line for the tier** exists.

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE

ACTION 1

DECISION INTELLIGENCE

Screen the bill of materials against the 0.1% Chinese export threshold before 10 November

TRIGGER CONDITION

This recommendation has been activated because the suspended Chinese export controls return on 10 November 2026, because the instrument's reach is set by a 0.1% value test rather than by end use, and because no survey exists of how many firms outside defence have screened their bills of materials against it at all.

PRIMARY DECISION OWNER **Procurement, with the COO**

DECISION WINDOW **IMMEDIATE** **By 9 October 2026**

WHY THIS NOW MATTERS

A value test reaches magnets and coatings inside turbines, motors, scanners and drives, none of which look like defence products. The screening takes weeks, so a decision deferred past early October is a decision handed to a customs authority.

RECOMMENDED ACTIONS

- **Immediate:** name one owner and produce a product-level list of items containing Chinese-processed rare earth content.
- **Immediate:** put the question to the three suppliers least likely to answer it, since an inability to answer is itself the finding.
- **Follow-on:** run a licence-application dry run on the two highest-value exposed lines.

REVIEW CONDITIONS

This recommendation should be reviewed if Beijing extends the suspension again, if implementing guidance narrows the value test, or if a licensing route opens that clears ordinary industrial goods in volume.

Give permission risk a single named owner across permitting, test access, engagement authority and data rights

TRIGGER CONDITION

This recommendation has been activated because the EU's defence permitting default now approves tacitly at 42 working days, because booking a US Army test range had been taking up to 18 months, and because none of these gates sits with the function that currently owns delivery risk.

PRIMARY DECISION OWNER **COO, or Strategy where delivery is federated**

DECISION WINDOW **NEXT QUARTER** **By 31 December 2026**

WHY THIS NOW MATTERS

These gates are administrative rather than industrial, so capital does not move them and capacity plans do not see them. They also compound: a tacit approval is worth little without a test slot, and a test slot is worth little without rights to the data it produces.

RECOMMENDED ACTIONS

- **Immediate:** map which of the four gates touches your top three programmes, and who currently answers for each.
- **Next quarter:** put one named owner across the set, with an escalation route that does not run through the programme office.
- **Follow-on:** write the data-rights position into supplier contracts before the FY27 default settles.

REVIEW CONDITIONS

This recommendation should be reviewed if the 102-working-day cap slips in practice, if tested-once-accepted-everywhere lands across member states and clears the test backlog, or if the government-purpose data-rights default is dropped in conference.

Re-run 2027 to 2030 workforce and lead-time assumptions against a statutory-priority scenario

TRIGGER CONDITION

This recommendation has been activated because France has legislated priority for military orders over civil ones, because Germany's reserve obligation took effect on 1 July 2026, and because a health-security draft due in September would place a standing claim on civilian hospital capacity.

PRIMARY DECISION OWNER **CFO, with the CHRO**

DECISION WINDOW **NEXT PLANNING CYCLE** **At the next capital committee**

WHY THIS NOW MATTERS

Lead-time and labour assumptions set before governments committed a decade of guaranteed orders to a shared supplier base are being carried forward rather than defended. A queue position set by statute is not a commercial variable that a better price resolves.

RECOMMENDED ACTIONS

- **Immediate:** identify which critical suppliers sit in a jurisdiction that now carries a statutory priority rule.
- **Next quarter:** quantify the reservist-eligible share of the workforce in affected countries, starting with Germany.
- **Follow-on:** rebuild the 2027 to 2030 lead-time base case on the priority scenario rather than on the pre-2026 one.

REVIEW CONDITIONS

This recommendation should be reviewed if the French mechanism is triggered in practice, if capacity build-out lands early enough to ease the competition for components and people, or if recruitment measures reverse the volunteer numbers materially.

Track whether jamming-induced loss becomes a named peril in marine and aviation wordings

TRIGGER CONDITION

This recommendation has been activated because the aircraft destroyed over Latvia on 14 August was a third party's, displaced by electromagnetic warfare rather than sent, because Finland's regulator now records interference around the clock while holding that safety margins are intact, and because a loss with no attacker has no settled liability route.

PRIMARY DECISION OWNER **Risk and insurance, with the CISO**

DECISION WINDOW **MONITOR ONLY** Review by 31 March 2027

WHY THIS NOW MATTERS

The commercial channel here runs through contract language rather than casualty statistics, and wordings move quietly. An operator can be re-priced or excluded before any accident data has shifted.

RECOMMENDED ACTIONS

- **Immediate:** ask your broker how a positioning-denial loss would be characterised under current wordings.
- **Follow-on:** run one positioning-loss exercise on the assets that would degrade first, and record what fails and in what order.

REVIEW CONDITIONS

Reinstate this as Prepare if an insurer names jamming-induced loss in policy wording, if a second displaced third-party aircraft is destroyed over NATO territory, or if EASA moves from advisory to mandate on positioning resilience.

The body of work, in one sentence

Over this cycle, money stopped being the accelerant. The previous question was whether the supplier base could absorb a decade of guaranteed orders; the evidence says the binding gates moved above the factory, into who may be recruited, who may fire, who may build without a decision, who owns the repair data and which hospital takes the wounded. The load-bearing variable for the next two years is permission rather than capacity: how fast states can reallocate civil capacity by law, and how much of that claim lands on organisations that do not consider themselves part of defence.

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Defence, Security and Resilience**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

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